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COMMODITIES DAILY

The Commodities Feed: Oil prices cool despite US-Iran deadlock

Oil prices are easing despite no breakthrough in US-Iran discussions. Meanwhile, the latest EU gas storage data shows that storage levels fell, adding to supply fears as we move closer to winter

Energy - EU gas storage drops

Oil prices edged lower through much of yesterday's session; Brent crude ended the day largely flat. There was little in the way of fresh developments between the US and Iran, with both sides remaining in a deadlock. Meanwhile, the latest large drone attack on Russia's Novorossiysk port appears to have spared oil infrastructure, with no reports of damage to oil terminals as of now.

The EIA's weekly report was fairly bearish, with US commercial crude oil inventories increasing by a significant 17.42m barrels over the last week. This is the largest weekly increase since January 2023. Total crude stocks actually rose by 11.31 million barrels once the 6.12 million barrels of SPR releases are included.

The large inventory increase was predominantly driven by the trade side, with crude oil imports increasing 1.14m b/d week-onweek, while crude exports fell by 627k b/d. Inventory changes for refined products were more modest, with gasoline and distillate stocks falling by

968k barrels and 10k barrels, respectively. While refiners reduced their utilisation rates by 0.3pp WoW, they remain at seasonally high levels of above 96%. Very healthy refinery margins will be pushing refiners to maximise run rates.

The International Energy Agency expects the global oil market to be in a 1.8m b/d deficit in 3Q26, which has grown since last month, given the renewed disruptions in the Middle East. While global oil supply grew by 2.4m b/d in July, it remains 6.3m b/d lower year-on-year, and full-year oil supply is now expected to fall by 4.3m b/d in 2026. Aggressive downward revisions were also made to demand. The IEA now expects global oil demand to fall by 1.6m b/d YoY in 2026 due to Persian Gulf disruptions and elevated fuel prices.

OPEC also released its latest monthly report yesterday. The group remains more upbeat when it comes to demand, expecting global demand to grow by 580k b/d YoY. This seems fairly optimistic given the price levels that we have seen refined products trading this year. Meanwhile, when it comes to OPEC supply, the group reportedly increased output by 1.69m b/d MoM to 19.85m b/d in July, with gains dominated by Iraq, Saudi Arabia, and Kuwait. However, the supply recovery is likely to have stalled in August amid renewed disruptions in the Strait of Hormuz.

European gas has firmed notably this week, with TTF pushing back above EUR 60/MWh, yet the lagged positioning data tells a different story. Investment funds trimmed their net long in TTF by 16.6 TWh, bringing it down to 228.2 TWh over the latest reporting week. Despite the pullback in net longs, concerns around Europe's gas storage trajectory continue to build as the region moves closer to the 2026/27 heating season, particularly with ongoing Persian Gulf LNG disruptions threatening to tighten supply further. The latest storage data from Gas Infrastructure Europe shows that EU storage fell by 0.01pp to 59.32%. While this is a very marginal decline, it still is not a great sign for Europe in the middle of the injection season.

Agriculture – Black Sea grain disruptions and WASDE

Grain prices rallied yesterday, with front-month CBOT wheat futures settling almost 3.6% higher on the day. This follows a large drone attack on Russia's Novorossiysk port. It led to the suspension of operations at three grain terminals at the port due to damage. These latest developments will only add to fears over Black Sea grain supply, with Ukraine and Russia increasingly targeting each other's ports and commercial vessels. The USDA's latest WASDE report only added further bullishness to grain prices. The agency lowered its U.S. corn yield outlook, lifting front-month CBOT corn futures more than 4–6% on the day.

Despite the USDA cutting its corn yield forecast for the 2026/27 US crop from 183bu/acre to 180.7bu/acre, it still revised its corn production estimate up slightly by 13m bushels to 16.01bn bushels amid upward revisions in acreage. If realised, this would still be the US' second-largest corn crop on record. US corn ending stocks for 2026/27 were still lowered by 137m bushels to 1,653m bushels, below market expectations. Looking at the global corn balance, the USDA revised its production and demand estimates to 1,298.9mt (vs. 1,297.1mt) and 1,323.1mt (vs. 1,320.5mt), respectively. Stronger demand estimates saw global ending stock cut to 274.7mt from 275.3mt.

The USDA raised 2026/27 US soybean production estimates from 4,475m bushels to 4,519m bushels, reflecting an increase in planted area from 84.4m acres to 85.8m acres. This led to ending stock estimates being revised up by 10m bushels to 320m bushel. Meanwhile, global soybean ending stock estimates for 2026/27 were left unchanged at 124.2mt.

Finally, US wheat production estimates were cut by 5m bushels due to a slight downward revision in yields. Ending stock estimates were reduced from 722m bushels to 717m bushels. For the global balance, ending stock estimates were revised higher from 272.8mt to 273.3mt primarily due to higher beginning stocks. The agency cut its wheat export estimates for Russia and Ukraine given the escalation seen in the Black Sea, which is disrupting grain exports.

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